LINCOLN INTERNATIONAL

CONFIDENTIAL INFORMATION MEMORANDUM

PROJECT VELLUM

Ascot Paper Products

Light Industrial — Specialty Paper & Fine Writing Products

February 2024 | STRICTLY PRIVATE & CONFIDENTIAL

Executive Summary

Ascot Paper Products — Light Industrial

Ascot Paper Products ("Ascot" or the "Company") is a leading North American manufacturer and distributor of premium specialty paper products — including fine writing papers, art & illustration papers, archival document papers, and premium packaging substrates. Founded in 2001, the Company operates one manufacturing facility in Portland, OR and a converting & distribution center in Memphis, TN, serving independent specialty retailers, art supply chains, luxury stationery brands, and institutional archival customers. Ascot's products command a 30–45% price premium to commodity paper through superior surface quality, acid-free archival certification, and exclusive brand partnerships.

$95M
LTM Revenue

$14M
LTM Adj. EBITDA

+7%
YoY Revenue Growth

3,200+
Active SKUs

30–45%
Price Premium vs. Commodity

14.7%
EBITDA Margin

Key Financial Metrics

LTM Q4'23 Revenue	**$95M**
Adj. EBITDA	**$14M (14.7%)**
Revenue Growth (YoY)	**+7%**
Asking EV	**~$140M**
Transaction Multiple	**10.0x LTM Adj. EBITDA**

Investment Highlights

Six reasons Ascot Paper Products represents a compelling investment

01

Defensible niche in premium specialty paper — structural barriers to competition

Acid-free archival certification requires ISO 9706 compliance — 2–3 year qualification process for new entrants · Custom colorways and surface textures for 6 exclusive luxury stationery brand partners (NDA-protected) · Proprietary coating formulas (4 patents) developed over 20+ years — replicable only with significant R&D investment

02

Premium pricing power insulated from commodity paper market dynamics

ASP of $4.20–$8.80 per sheet vs. $0.08–0.25/sheet for commodity copy paper — 30–45x premium · Price increases of 4–6% in FY2022 and FY2023 absorbed with minimal volume impact · Premium segment customers are price-insensitive — buying on quality, certification, and brand

03

Durable institutional customer base with high switching costs

Library of Congress, Smithsonian, and 12 major university archives — archival customers on 5-year supply agreements · Artist-grade paper relationships with Blick Art Materials (382 stores) and Michaels — 9-year tenure · Average customer relationship: 11.2 years; top 20 accounts represent 62% of revenue with <3% annual churn

04

Significant e-commerce and DTC growth vector

Ascot.com DTC channel grew from $1.2M (FY2021) to $8.5M (FY2023) — 65% CAGR · Amazon Seller Central: #1 best-seller in 'Fine Art Paper' category; 4.8-star rating (12,400+ reviews) · DTC gross margin 58% vs. 28% wholesale — channel mix shift to digital structurally accretive to margins

05

Environmental credentials align with growing institutional and consumer sustainability mandates

100% FSC-certified fiber sourcing since 2019; Portland facility carbon-neutral since 2022 · Climate Pledge Friendly designation on Amazon; preferred supplier to 3 university sustainability programs · Recyclable and biodegradable packaging across 95% of SKU count — no single-use plastic

06

Family-owned business with clean balance sheet and no legacy liabilities

Founded and majority-owned by the Hartley family (68%) — first-generation sale process · Zero funded debt on balance sheet; $11M cash — acquiror gets clean platform with immediate bolt-on capacity · No pension obligations, no environmental remediation liabilities, no customer concentration >15%

Company Overview

History, scale, and operating footprint

Ascot Paper Products ("Ascot" or the "Company") is a leading North American manufacturer and distributor of premium specialty paper products — including fine writing papers, art & illustration papers, archival document papers, and premium packaging substrates. Founded in 2001, the Company operates one manufacturing facility in Portland, OR and a converting & distribution center in Memphis, TN, serving independent specialty retailers, art supply chains, luxury stationery brands, and institutional archival customers.

2001
ounded by Richard Hartley in and, OR. Initial focus: archival and rt papers for institutional buyers.

2006
Blick Art Materials partnership signed — first national retail distribution. Revenue reaches $28M.

2010
Memphis distribution center opened. SKU count expands to 1,400. Revenue $42M.

2015
ISO 9706 archival certification achieved. Library of Congress and Smithsonian contracts won.

2019
FSC certification secured. E-commerce channel launched on Amazon and ascot.com. Revenue $74M.

2022
Portland facility carbon-neutral. DTC channel reaches $4.2M. Revenue $89M, EBITDA $13M.

2024
Lincoln International engaged. L revenue $95M, EBITDA $14M. Fa exploring first-generation liquic

2001	Portland, OR	~290	Portland, OR (owned)	Memphis, TN (leased)	~4,800
Founded	HQ	Employees	Manufacturing	Distribution	Retail Doors

Products & Services

Diversified offering with multiple growth vectors

CORE — 38% OF REVENUE **$4.20–$8.80/sheet**

Fine Writing & Stationery Papers

- Cotton-content writing papers: 25%, 50%, and 100% cotton grades
- Exclusive partnerships with 6 luxury stationery brands (Crane & Co. equivalent positioning)
- Watermarked and custom-dye-lot capabilities; minimum runs from 500 sheets

GROWTH — 31% OF REVENUE **$3.50–$12.00/sheet**

Art & Illustration Papers

- Watercolor (140lb–300lb), drawing, printmaking, and mixed media papers
- #1 Amazon BSR in Fine Art Paper; Blick and Michaels primary retail channels
- Artist-grade sizing and surface texture; acid-free, pH-neutral, archival

INSTITUTIONAL — 19% OF REVENUE **$5.00–$9.50/sheet**

Archival & Document Papers

- ISO 9706 certified archival papers for government and museum collections
- Library of Congress, Smithsonian, 12 university archives on 5-yr supply agreements
- Highest-margin product line (42% gross margin); sole-source for 8 institutional accounts

EMERGING — 12% OF REVENUE **Custom**

Specialty Packaging Substrates

- Premium uncoated papers for luxury brand packaging (cosmetics, spirits, gift)
- Sustainable alternative to plastic-laminated packaging for B-Corp certified brands
- Fastest-growing segment: +28% in FY2023; pipeline of 4 new luxury brand relationships

Market Opportunity

Large and growing addressable market

Global Specialty Paper Market

Includes fine paper, art paper, technical paper; growing 3–4% CAGR

$38B

North America Premium Specialty Paper

Ascot's addressable geography; resilient despite broader paper decline

$4.2B

Fine Art & Archival Paper Segment

Ascot's core niche; 5–6% growth driven by art education and institutional demand

$680M

Ascot's Served Market

Retail + institutional + DTC; Ascot holds ~45% of addressable premium art paper

Business Model & Unit Economics

Revenue mix and key operating metrics

Wholesale & Retail Distribution — 60%

~$57M LTM

- Blick Art Materials (382 stores), Michaels, Jerry's Artarama
- 9-year retail relationships; preferred vendor status
- 28–32% gross margin; volume and breadth of reach

Institutional & Archival Accounts — 28%

~$27M LTM

- Library of Congress, Smithsonian, 12 university archives
- 5-year supply agreements; sole-source for 8 accounts
- 42% gross margin — highest in portfolio; low churn

DTC & E-Commerce (ascot.com + Amazon)

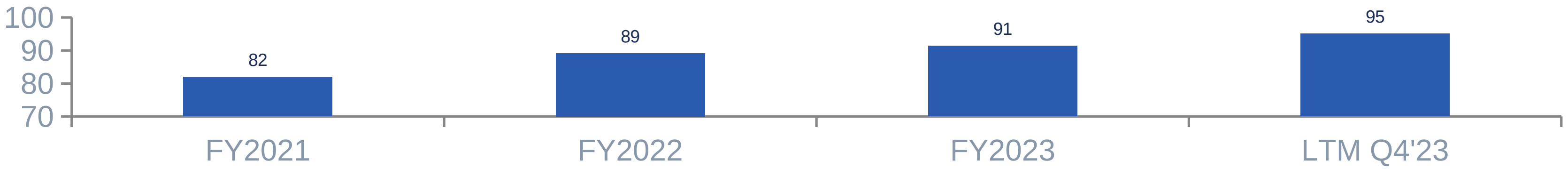
~$11M LTM

- 65% CAGR from FY2021–FY2023; fastest-growing channel
- 58% gross margin vs. 28% wholesale — structurally margin-accretive
- Amazon #1 BSR Fine Art Paper; 4.8 stars, 12,400+ reviews

Historical Financial Performance

$ in millions; FY ends December 31

($M unless noted)	FY2021	FY2022	FY2023	LTM Q4'23
Revenue	82.0	89.2	91.4	95.1
YoY Growth	—	+8.8%	+2.5%	+7.2%
Gross Profit	26.2	29.8	31.0	32.8
Gross Margin %	32.0%	33.4%	33.9%	34.5%
Sales & Marketing	7.4	7.9	8.1	8.5
G&A	4.8	5.0	5.2	5.5
R&D / Product Dev.	2.2	2.4	2.5	2.6
Adj. EBITDA	11.0	13.0	13.5	14.0



Balance Sheet & Capital Structure

As of most recent period; $ in millions

Instrument	Maturity	Balance	Leverage
Funded Debt	—	$0	—
Cash & Equivalents	—	$11.0M	—
Net Cash Position		**$11.0M**	**—**
Preferred / Equity		**Family-owned (Hartley family 68%)**	
Net Debt (adj.)		**$(11.0M)**	**0.0x — debt-free**

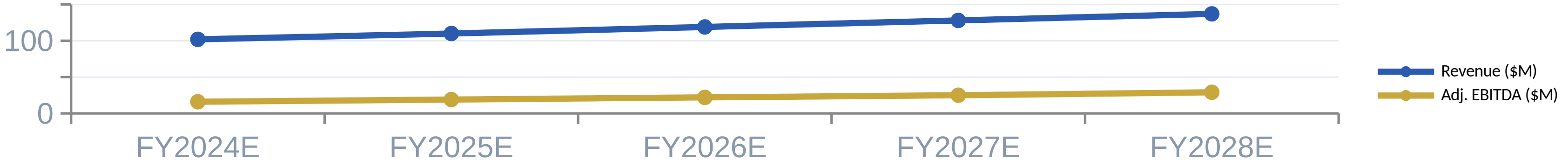
Valuation Context

Metric	Value	Commentary
Enterprise Value (guidance)	~$140M	10.0x LTM Adj. EBITDA
Revenue Multiple (LTM)	1.5x	Specialty paper: 1.2–1.8x typical
EBITDA Multiple (LTM)	10.0x	Premium for niche market leadership
EBITDA Multiple (FY2025E)	7.4x	Attractive as DTC mix drives margin expansion
EV excl. Net Cash	~$129M	9.2x adjusted — compelling clean entry

Financial Projections

Management case; $ in millions — not independently verified

($M unless noted)	FY2024E	FY2025E	FY2026E	FY2027E	FY2028E
Revenue	102	110	119	128	137
YoY Growth	+7%E	+8%E	+8%E	+8%E	+7%E
Gross Profit	36	40	44	48	52
Gross Margin %	35.3%	36.4%	37.0%	37.5%	38.0%
Adj. EBITDA	16	19	22	25	29
EBITDA Margin %	15.7%	17.3%	18.5%	19.5%	21.2%
DTC / E-com Revenue	12	17	23	30	38



Management projections. Actual results may differ materially.

Management Team

Experienced leadership with deep sector expertise

R

Richard Hartley

Chief Executive Officer & Founder

Founded Ascot in 2001 after 12 years as a paper merchant at Sappi Fine Paper. Deep expertise in paper chemistry and customer relationships; personally manages institutional account relationships. Owns 68% of the company with his family.

M

Margaret Hartley

Chief Operating Officer

Richard's daughter; joined Ascot full-time in 2015 after Wharton MBA. Oversees manufacturing, supply chain, and quality systems. Led the FSC and ISO 9706 certification programs. Designated successor to CEO upon sale.

J

James Alcott

Chief Financial Officer

First professional CFO at Ascot; joined 2020 to prepare company for a potential liquidity event. Previously CFO at Boise Paper Holdings (private). CPA; 18 years in paper and packaging industry finance.

C

Claire Nguyen

VP Sales & Marketing

Manages Blick Art Materials, Michaels, and independent art retailer relationships. Built Ascot's DTC and Amazon presence from zero to $8.5M in 4 years. Former National Accounts Manager at Fabriano (Italian paper brand, US operations).

D

David Park

VP Manufacturing & Quality

25 years in specialty paper manufacturing. Manages Portland facility (110 employees). Led the carbon-neutral certification project and Portland mill expansion in 2021. Holds expertise in coating chemistry and surface sizing — co-inventor on 2 patents.

S

Susan Bell

VP Institutional & Archive Sales

Manages Library of Congress, Smithsonian, and university archive accounts. Former Archivist at the National Archives; PhD in archival science from Simmons. Ascot's credibility with institutional buyers is built substantially on her relationships.

Transaction Overview

Lincoln International — February 2024

Valuation Context

Metric	Value	Commentary
Enterprise Value (guidance)	~$140M	10.0x LTM Adj. EBITDA
Revenue Multiple (LTM)	1.5x	Specialty paper: 1.2–1.8x typical
EBITDA Multiple (LTM)	10.0x	Premium for niche market leadership
EBITDA Multiple (FY2025E)	7.4x	Attractive as DTC mix drives margin expansion
EV excl. Net Cash	~$129M	9.2x adjusted — compelling clean entry

Process Structure

Structure	Targeted; select financial sponsors; limited strategic outreach
Data Room	Virtual (Intralinks); operational post-NDA execution
Management	CEO/COO/CFO; Portland facility tour available
Exclusivity	Per process letter; IOIs due March 15, 2024
Advisor	Lincoln International LLC (exclusive sell-side)

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Key Operating Metrics

Detailed unit economics and efficiency metrics

Metric	Value	Trend / Commentary
Archival Paper Gross Margin	**42.0%**	Highest-margin line; institutional pricing power
DTC / Amazon Gross Margin	**58.0%**	↑ as DTC grows from 9% to projected 28% of revenue by FY2028
Blended Gross Margin	**34.5%**	↑ as DTC and institutional mix shifts
Revenue per Employee	**$328K**	Stable; manufacturing efficiency offset by DTC investment
Top 20 Account Churn	**<3%/yr**	11.2-year avg. customer relationship; institutional stickiness
Net Debt / Adj. EBITDA	**0.0x**	Debt-free balance sheet; $11M cash available for bolt-ons

APPENDIX

Additional materials available in virtual data room upon NDA execution

Detailed financial model · Customer list · Site photos · Reference accounts